1.3 Putting a business idea into practice

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Standalone question bank — with original figures, charts, diagrams

Each question carries its full case-study extract (text), data tables, AND embedded original-paper pages for any figures / charts / bar-gate graphs / diagrams / photos. Print and revise without needing the original papers.

- **Total questions:** 67
- **Total marks:** 178
- **Sub-topics covered:** 4
- **Questions with embedded source pages:** 37

By series:

- **Specimen SAMs:** 11 questions
- **June 2019:** 11 questions
- **Nov 2020:** 8 questions
- **Nov 2021:** 9 questions
- **June 2022:** 12 questions
- **June 2023:** 6 questions
- **June 2024:** 10 questions

1.3.1 Business aims and objectives (6 questions)

Specimen SAMs · Paper 1 · Q3(a) · §A

MCQ 1 marks

Which one of the following is an example of a non-financial objective for an entrepreneur starting a new business?

A. Survival
B. Profit
C. Market share
D. Independence

MARK SCHEME ANSWER

D

June 2019 · Paper 1 · Q2(d) · §A

Explain **3 marks**

DATA FOR QUESTION 2

> Table 1 contains information about a small business for one month. The business sold 340 units in this month. Fixed costs: £3 600; Variable costs (per unit): £9.

Explain one possible non-financial aim an entrepreneur may have when starting a small business.

MARK SCHEME ANSWER

Award 1 mark for identification of an aim, plus 2 further marks for explaining this aim up to a total of 3 marks. An entrepreneur may wish to gain personal satisfaction from starting a business (1). This is because they may feel that they have achieved something in life (1) which is based on the hard work they put into starting the business (1). A non-financial aim could be independence (1). An entrepreneur is able to make their own decisions when running a business (1) instead of being told what to do as an employee (1). Accept any other appropriate response. Answers that list more than one aim with no explanation will be awarded a maximum of 1 mark.

Nov 2021 · Paper 1 · Q7(e) · §C

Evaluate 12 marks

CASE STUDY EXTRACT

> That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli. The unique nature of That Feeling not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells That Feeling branded clothes and vintage glasses frames. When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated: 'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.' Justin now acts as a mentor to staff members at That Feeling by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business. (Source: adapted from https://thatfeeling.co.uk/ and interview with Justin Carr 29/05/2019)

DATA FOR QUESTION 7

> Figure 2 shows the age of entrepreneurs starting businesses in the UK since 2000. 16 to 34: 10%, 35 to 44: 25%, 45 to 54: 31%, 55 to 64: 26%, Over 65: 7%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION C

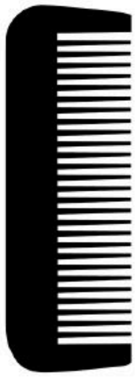
Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: N 454 R/Shutterstock)

(Source: Flat_Enot/Shutterstock)



(Source: OnD/Shutterstock)

That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli.

The unique nature of *That Feeling* not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells *That Feeling* branded clothes and vintage glasses frames.

When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated:

'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.'

Justin now acts as a mentor to staff members at *That Feeling* by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business.

(Source: adapted from https://thatfeeling.co.uk/ and interview with Justin Carr 29/05/2019)

Evaluate the importance of achieving non-financial objectives for the success of That Feeling. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: The non-financial aims of a business, including independence and personal satisfaction, are important as they often drive the desire of an entrepreneur to start a business (AO1b). It is important for a business to set financial aims and objectives such as profit and market share as without these the business will struggle to survive (AO1b). The non-financial aims of That Feeling stem from Justin's belief that it is important to be passionate and always do the best you can (AO2). That Feeling offer a range of products such as clothing and vintage glasses frames which does indicate that it is aiming to increase the amount of revenue made by the business (AO2). Justin's focus on being the best that he can and helping to mentor others to share in this belief will have a positive effect on the quality of the service that is offered by the business. Customers will recognise this and want to go to the business to get a haircut from the best barbers. Therefore, the financial aims of the business will be taken care of by focusing on the non-financial objectives (AO3a). Survival of a business will not happen if key financial decisions are wrong. That Feeling needs to think carefully about its pricing strategy and has to ensure it has a positive cash flow. Without these the business will fail (AO3a). However, the success of That Feeling will depend on how many customers go to get their haircut at the shop, or buy its clothing. No matter how passionate Justin is, if customers think they are paying too much or do not like the clothes then they will stop using the business. The survival of the business is more closely linked to the business finances so this should be the main focus (AO3b). However, there are a large number of barber shops so competition is high. Justin recognises that That Feeling needs to stand out from the crowd. Competitive advantage will come from the unique nature of the business and the high quality service it offers. The underpinning factor is That Feeling's drive to be the best they can. This therefore is most the most important objective (AO3b). Level 1 (1-4): Elements of knowledge; limited application; limited connections; conclusion supported by generic assertions. Level 2 (5-8): Mostly accurate knowledge; sound application; chains of reasoning; conclusion based on sound evaluation. Level 3 (9-12): Accurate knowledge; detailed application; logical chains of reasoning; valid and well-reasoned conclusion based on thorough evaluation.

June 2022 · Paper 1 · Q6(a) · §B

State 1 marks

CASE STUDY EXTRACT

> Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes. Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started Little Movers as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children. To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the Little Movers brand, being the only Little Movers franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes. This approach proved to be highly successful. Little Movers now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai. (Source: adapted from http://www.littlemovers.net/our-classes)

DATA FOR QUESTION 6

> Little Movers is considering two options to carry out market research for possible new franchises in Poland: Option 1: internet research to identify competitors in Poland; Option 2: conducting focus groups with parents living in Poland.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes.

Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started *Little Movers* as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children.

To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the *Little Movers* brand, being the only *Little Movers* franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes.

This approach proved to be highly successful. *Little Movers* now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai.

(Source: adapted from http://www.littlemovers.net/our-classes)

State one non-financial aim that Melanie may have had when starting Little Movers.

MARK SCHEME ANSWER

Award 1 mark for stating one non-financial aim that Melanie may have had. Social objective to keep children active (1). Personal satisfaction of starting a business as a mother of two children (1). Independence so she could spend school holidays with her children (1). To award 1 mark there must be evidence of application.

June 2023 · Paper 1 · Q4(b) · §B

Analyse 6 marks

CASE STUDY EXTRACT

> Extract A: Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area. Amelia is now in a position where she wants to start her own plumbing business called Lili Heating Ltd. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes. As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend Lili Heating Ltd to their friends and families. For this to happen she knows that her work must be of the highest standard. Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

(Source: © Shutterstock)

Figure 2

Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area.

Amelia is now in a position where she wants to start her own plumbing business called *Lili Heating Ltd*. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes.

As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend *Lili Heating Ltd* to their friends and families. For this to happen she knows that her work must be of the highest standard.

Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

Analyse the impact of non-financial aims on Amelia's decision to start Lili Heating Ltd.

MARK SCHEME ANSWER

Indicative content: The challenge of setting up a plumbing business in Birmingham, where competition is high, could be a driving force for Amelia (AO2). Amelia may want to gain more independence after working for someone else for six years (AO2). As a result, she would be determined to succeed as there are very few female business owners in the plumbing industry. This could give her an extra incentive to do well. (AO3a). Therefore, by setting up Lili Heating Ltd she can be her own boss and make her own decisions. She no longer has to carry out repairs on houses for someone else (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2024 · Paper 1 · Q3(a) · §A MCQ **1 marks**

DATA FOR QUESTION 3

> Figure 1 shows the number of units sold by a business each month from June to August. The break even level of output for each month was 5,000. June: 4,300; July: 6,700; August: 6,800.

Which one of the following is a financial aim for a new business?

A. Challenge
B. Independence
C. Personal satisfaction
D. Survival

MARK SCHEME ANSWER

The only correct answer is D - Survival. A is not correct because it is a non-financial aim. B is not correct because it is a non-financial aim. C is not correct because it is a non-financial aim.

1.3.2 Business revenues, costs and profits (28 questions)

Specimen SAMs · Paper 1 · Q1(a) · §A

MCQ 1 marks

Which one of the following is an example of a variable cost?

A. Rent
B. Raw materials
C. Insurance
D. Advertising

MARK SCHEME ANSWER

B

Specimen SAMs · Paper 1 · Q3(b) · §A

Calculate 2 marks

Using the information below calculate the total costs for the business. You are advised to show your workings. Number of units sold: 240. Fixed costs: £1 100. Variable costs per unit: 45 pence

MARK SCHEME ANSWER

Substitution into correct formula: Total costs = £1 100 + (240 × 0.45) (1). Answer: £1 208 (1). Award full marks for correct numerical answer without working.

Specimen SAMs · Paper 1 · Q6(a) · §B

Identify 1 marks

CASE STUDY EXTRACT

> Extract A: Neil and Sue Chatterton own and run Meringue bakery and cafe. This is located close to a town centre and has lots of passing trade. Meringue produces high-quality bread and pastries using traditional methods and high-quality ingredients. Since opening 12 months ago sales have grown strongly. At busy times a queue builds up at the counter as customers wait to pay. Online reviews indicate that this is something that needs to improve. Neil and Sue are now planning to make greater use of technology to promote the business, and to reduce the time that customers have to wait to pay their bills. The website has been redesigned to allow customers to order their food before they arrive at the cafe. A contactless payment system will allow customers to pay securely by tapping their smart phones on a reader. Figure 2 shows a TripAdvisor review for Meringue: 'Very good but......' Reviewed 21 October 2013. Excellent food and very friendly staff. This was our first visit and we were made to feel very welcome. Our only complaint, and the reason why we didn't award 5 stars, is due to the time it took to pay for our food when we had finished. Long queue and only one till! Took us 20 minutes...

DATA FOR QUESTION 6

> Neil and Sue have produced the following break even diagram, showing the costs and revenue for their business. Figure 3 shows fixed costs (horizontal line at ~£600), variable costs (rising line), total costs (dashed line) and total revenue (dotted line) plotted against number of sales 0-300 with revenue/costs 0-£3000.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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(c) Explain **one** possible conflict that can exist between stakeholders of a business.

(3)

(d) Explain **one** disadvantage to a business of operating in a competitive environment.

(3)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

7 (a) State **one** risk that Sally faces in starting this business.

(1)

(b) Identify which of Sally's competitors is the most expensive per hour.

(1)

(c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

(d) Justify whether or not Sally should buy a franchise.

(9)

Specimen SAMs P1 page 26

Identify the total number of sales that Neil and Sue will need to break even.

MARK SCHEME ANSWER

200

Specimen SAMs · Paper 1 · Q6(b) · §B

Identify 1 marks

CASE STUDY EXTRACT

> Extract A: Neil and Sue Chatterton own and run Meringue bakery and cafe. This is located close to a town centre and has lots of passing trade. Meringue produces high-quality bread and pastries using traditional methods and high-quality ingredients. Since opening 12 months ago sales have grown strongly. At busy times a queue builds up at the counter as customers wait to pay. Online reviews indicate that this is something that needs to improve. Neil and Sue are now planning to make greater use of technology to promote the business, and to reduce the time that customers have to wait to pay their bills. The website has been redesigned to allow customers to order their food before they arrive at the cafe. A contactless payment system will allow customers to pay securely by tapping their smart phones on a reader. Figure 2 shows a TripAdvisor review for Meringue: 'Very good but......' Reviewed 21 October 2013. Excellent food and very friendly staff. This was our first visit and we were made to feel very welcome. Our only complaint, and the reason why we didn't award 5 stars, is due to the time it took to pay for our food when we had finished. Long queue and only one till! Took us 20 minutes...

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7 (a) State **one** risk that Sally faces in starting this business.

(1)

(b) Identify which of Sally's competitors is the most expensive per hour.

(1)

(c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

(d) Justify whether or not Sally should buy a franchise.

(9)

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Specimen SAMs P1 page 26

Identify the profit made by Meringue, by shading the correct region of the graph in Figure 3.

MARK SCHEME ANSWER

Award 1 mark for shading the region where the total revenue line is above the total costs line (as indicated in mark scheme diagram).

Specimen SAMs · Paper 1 · Q6(c) · §B

State 1 marks

CASE STUDY EXTRACT

> Extract A: Neil and Sue Chatterton own and run Meringue bakery and cafe. This is located close to a town centre and has lots of passing trade. Meringue produces high-quality bread and pastries using traditional methods and high-quality ingredients. Since opening 12 months ago sales have grown strongly. At busy times a queue builds up at the counter as customers wait to pay. Online reviews indicate that this is something that needs to improve. Neil and Sue are now planning to make greater use of technology to promote the business, and to reduce the time that customers have to wait to pay their bills. The website has been redesigned to allow customers to order their food before they arrive at the cafe. A contactless payment system will allow customers to pay securely by tapping their smart phones on a reader. Figure 2 shows a TripAdvisor review for Meringue: 'Very good but......' Reviewed 21 October 2013. Excellent food and very friendly staff. This was our first visit and we were made to feel very welcome. Our only complaint, and the reason why we didn't award 5 stars, is due to the time it took to pay for our food when we had finished. Long queue and only one till! Took us 20 minutes...

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SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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7 (a) State **one** risk that Sally faces in starting this business.

(1)

(b) Identify which of Sally's competitors is the most expensive per hour.

(1)

(c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

(d) Justify whether or not Sally should buy a franchise.

(9)

Specimen SAMs P1 page 26

State one benefit to Meringue of having a low break even level of output.

MARK SCHEME ANSWER

Award 1 mark for stating a benefit to Meringue of having a low break-even level of output. Need to sell fewer sandwiches to make a profit (1). More profit to invest in their website redesign (1). Accept any other appropriate response. Do not accept benefits that would not be appropriate for a small town centre bakery and cafe such as Meringue, for example being able to pay higher dividends to shareholders.

June 2019 · Paper 1 · Q2(c) · §A Calculate **2 marks**

DATA FOR QUESTION 2

Table 1 contains information about a small business for one month. The business sold 340 units in this month. Fixed costs: £3 600; Variable costs (per unit): £9.

Using the information in Table 1, calculate the total costs for one month. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: Total Costs = £3 600 + (£9 x 340) (1). Answer: £6 660 (1). Award full marks for correct numerical answer without working.

June 2019 · Paper 1 · Q3(b) · §A

Calculate 2 marks

DATA FOR QUESTION 3

Figure 1 shows information about the financial performance of a business from January to March. January: Revenue £12 000, Total costs £8 000. February: Revenue £14 000, Total costs £10 000. March: Revenue £10 000, Total costs £12 000.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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3 (a) Which **one** of the following is an example of a cash outflow for a small business?

Select **one** answer.

(1)

- ☐ **A** Bank loan
- ☐ **B** Personal savings
- ☐ **C** Raw materials
- ☐ **D** Receipts

Figure 1 shows information about the financial performance of a business from January to March.

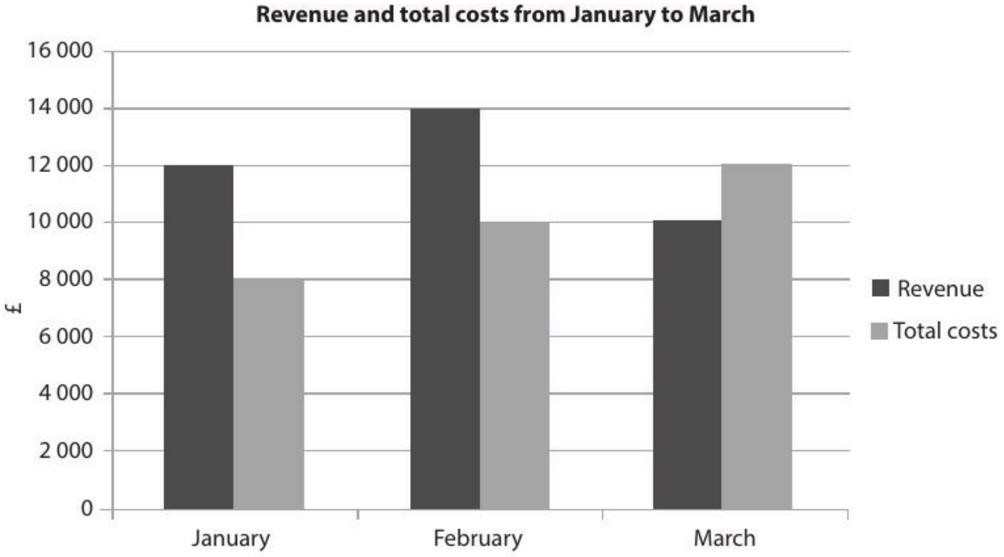

Figure 1

(b) Using the information in Figure 1, calculate the total profit for the period January to March. You are advised to show your workings.

(2)

£ ....

Using the information in Figure 1, calculate the total profit for the period January to March. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: Total Profit = £4 000 + £4 000 - £2 000 (1). Answer: £6 000 (1). Award full marks for correct numerical answer without working.

June 2019 · Paper 1 · Q5(a) · §B

Calculate 2 marks

CASE STUDY EXTRACT

> Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided Last Course Patisserie with a reputation for being flexible when meeting customer needs. Getting the best ingredients for the desserts is a vital part of the business. Last Course Patisserie found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed. Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. Last Course Patisserie is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for Last Course Patisserie to expand and possibly relocate to new premises.

DATA FOR QUESTION 5

> Last Course Patisserie has the following financial information for the month of April. Raw materials for each dessert: £0.50; Packaging for each dessert: £0.20; Fixed costs: £2 730; Selling price for each dessert: £2.00.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Source: © Elena Dijour/Shutterstock

Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided *Last Course Patisserie* with a reputation for being flexible when meeting customer needs.

Getting the best ingredients for the desserts is a vital part of the business. *Last Course Patisserie* found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed.

Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. *Last Course Patisserie* is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for *Last Course Patisserie* to expand and possibly relocate to new premises.

(Source adapted from: http://devondesserts.co.uk/; photo: © 2009-2018. Last Course Patisserie Ltd.)

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P 5 9 9 2 5 A 0 1 0 2 4

Using the information in Table 2, calculate the level of output required to break-even in April. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: Break-even output = £2 730/£2.00 - (£0.50+£0.20) = 2 100 Desserts. Award full marks for correct numerical answer without working. (2)

June 2019 · Paper 1 · Q5(b) · §B

Calculate 2 marks

CASE STUDY EXTRACT

> Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided Last Course Patisserie with a reputation for being flexible when meeting customer needs. Getting the best ingredients for the desserts is a vital part of the business. Last Course Patisserie found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed. Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. Last Course Patisserie is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for Last Course Patisserie to expand and possibly relocate to new premises.

DATA FOR QUESTION 5

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ADDITIONAL INFORMATION

> Last Course Patisserie - Table 2 financial info. In May suppliers increased the cost of raw materials by 4%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Source: © Elena Dijour/Shutterstock

Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided *Last Course Patisserie* with a reputation for being flexible when meeting customer needs.

Getting the best ingredients for the desserts is a vital part of the business. *Last Course Patisserie* found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed.

Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. *Last Course Patisserie* is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for *Last Course Patisserie* to expand and possibly relocate to new premises.

(Source adapted from: http://devondesserts.co.uk/; photo: © 2009-2018. Last Course Patisserie Ltd.)

P 5 9 9 2 5 A 0 1 0 2 4

Using the information in Table 2, calculate the variable cost per dessert following the increase in the cost of raw materials.

MARK SCHEME ANSWER

Increase in raw materials = 4/100 * £0.50 = £0.02. Variable cost per dessert = £0.52+£0.20 (1). Answer: £0.72 (1). Award full marks for correct numerical answer without working.

Nov 2020 · Paper 1 · Q2(b) · §A MCQ **2 marks**

DATA FOR QUESTION 2

> Table 1 contains information about cash payments of a small business in one month. The business sold 200 units in this month. All customers paid in cash. Selling price £15; Rent £500; Wages £1,000; Advertising £150.

Which two of the following are examples of variable costs?

A. Advertising
B. Insurance
C. Packaging
D. Raw materials
E. Rent

MARK SCHEME ANSWER

The only correct answers are C - Packaging and D - Raw Materials. A is not correct because it is an example of a fixed cost. B is not correct because it is an example of a fixed cost. E is not correct because it is an example of a fixed cost.

Nov 2020 · Paper 1 · Q3(b) · §A

Calculate 2 marks

DATA FOR QUESTION 3

> Figure 1 shows the total costs for a business between May and July. May: £10,000; June: £13,000; July: £16,000.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

3 (a) Which **one** of the following is a characteristic of a sole trader?

(1)

Select **one** answer.

- ☒ **A** They require a business qualification
- ☒ **B** They have unlimited liability
- ☒ **C** They can sell shares to raise finance
- ☒ **D** They do not employ staff

Figure 1 shows the total costs for a business between May and July.

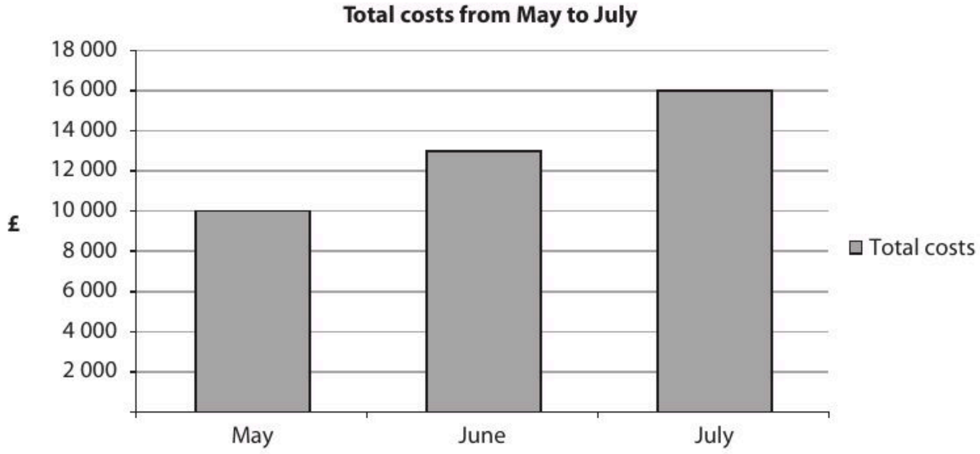

Figure 1

(b) Using the information in Figure 1, calculate the percentage change in total costs between May and July. You are advised to show your workings.

(2)

.... %

Using the information in Figure 1, calculate the percentage change in total costs between May and July. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: (6,000 ÷ 10,000) x 100 (1). Answer: 60% (1). Award full marks for correct numerical answer without working.

Nov 2020 · Paper 1 · Q5(a) · §B

Calculate 2 marks

CASE STUDY EXTRACT

> On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking. The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura. On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows On Your Bike to offer exceptional customer service and advice. The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, On Your Bike operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes. Figure 2 shows a customer review from a comparison website: Five stars - Reviewed 28 February 2019 - 'Great Service!!! Great customer service, particularly from Miles. They have a great range of bikes for hire too!' - Member: Sydney, Australia.

DATA FOR QUESTION 5

> On Your Bike has made the following forecasts for the costs and sales of its bikes for 2021. Table 2: Total number of bike sales 2,000; Total revenue £1,100,000; Variable cost per bike £350; Fixed costs £150,000.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking.

The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura.

(Source: © Ramon Espelt Photography/Shutterstock)

On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows *On Your Bike* to offer exceptional customer service and advice.

The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, *On Your Bike* operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes.

Figure 2 shows a customer review from a comparison website.

Figure 2

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5 *On Your Bike* has made the following forecasts for the costs and sales of its bikes for 2021.

	Forecast
Total number of bike sales	2,000
Total revenue	£1 100 000
Variable cost per bike	£350
Fixed costs	£150 000

Table 2

(a) Using the information in Table 2, calculate the selling price per bike.
You are advised to show your workings.

(2)

£ ....

(b) Using the information in Table 2, calculate the profit *On Your Bike* is forecast to make from selling bikes in 2021. You are advised to show your workings.

(2)

£ ....

Using the information in Table 2, calculate the selling price per bike. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: £1,100,000 ÷ 2,000 (1). Answer: £550 (1). Award full marks for correct numerical answer without working.

Nov 2020 · Paper 1 · Q5(b) · §B

Calculate 2 marks

CASE STUDY EXTRACT

On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking. The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura. On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows On Your Bike to offer exceptional customer service and advice. The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, On Your Bike operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes. Figure 2 shows a customer review from a comparison website: Five stars - Reviewed 28 February 2019 - 'Great Service!!! Great customer service, particularly from Miles. They have a great range of bikes for hire too!' - Member: Sydney, Australia.

DATA FOR QUESTION 5

On Your Bike has made the following forecasts for the costs and sales of its bikes for 2021. Table 2: Total number of bike sales 2,000; Total revenue £1,100,000; Variable cost per bike £350; Fixed costs £150,000.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking.

The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura.

(Source: © Ramon Espelt Photography/Shutterstock)

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The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, *On Your Bike* operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes.

Figure 2 shows a customer review from a comparison website.

Figure 2

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5 *On Your Bike* has made the following forecasts for the costs and sales of its bikes for 2021.

	Forecast
Total number of bike sales	2,000
Total revenue	£1 100 000
Variable cost per bike	£350
Fixed costs	£150 000

Table 2

(a) Using the information in Table 2, calculate the selling price per bike. You are advised to show your workings.

(2)

£ ....

(b) Using the information in Table 2, calculate the profit *On Your Bike* is forecast to make from selling bikes in 2021. You are advised to show your workings.

(2)

£ ....

Using the information in Table 2, calculate the profit On Your Bike is forecast to make from selling bikes in 2021. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: £1,100,000 - ((£350 x 2,000)+£150,000) (1). Answer: £250,000 (1). Award full marks for correct numerical answer without working.

Nov 2020 · Paper 1 · Q5(c) · §B

Analyse 6 marks

CASE STUDY EXTRACT

> On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking. The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura. On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows On Your Bike to offer exceptional customer service and advice. The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, On Your Bike operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes. Figure 2 shows a customer review from a comparison website: Five stars - Reviewed 28 February 2019 - 'Great Service!!! Great customer service, particularly from Miles. They have a great range of bikes for hire too!' - Member: Sydney, Australia.

DATA FOR QUESTION 5

> On Your Bike has made the following forecasts for the costs and sales of its bikes for 2021. Table 2: Total number of bike sales 2,000; Total revenue £1,100,000; Variable cost per bike £350; Fixed costs £150,000.

ADDITIONAL INFORMATION

> The owners of On Your Bike want to lower the break even level of output and have decided to do this by reducing costs.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking.

The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura.

(Source: © Ramon Espelt Photography/Shutterstock)

On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows *On Your Bike* to offer exceptional customer service and advice.

The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, *On Your Bike* operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes.

Figure 2 shows a customer review from a comparison website.

Figure 2

Analyse the impact on On Your Bike of reducing costs in order to lower its break even level of output.

MARK SCHEME ANSWER

Indicative content: Reducing costs would allow On Your Bike to make more profit per cycle if the average price remained at £550 (AO2). In order to reduce its costs On Your Bike may have to reduce the amount it spends in employing mechanics and sending them on training courses (AO2). As a result, On Your Bike would need to sell fewer cycles in order to cover its fixed costs and therefore break even (AO3a). This may have a negative effect on the excellent customer service at On Your Bike. This would cause lower demand and the business not reaching a lower break-even point (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Nov 2021 · Paper 1 · Q2(a) · §A MCQ **2 marks**

DATA FOR QUESTION 2

Table 1 shows the cash-flow forecast for a small business. May - Cash inflows: £12 600, Cash outflows: £8 200, Net cash flow: £4 400, Opening balance: £600, Closing balance: (i). June - Cash inflows: £13 400, Cash outflows: £9 100, Net cash flow: (ii), Opening balance: £5 000, Closing balance: £9 300.

Which two of the following can be interpreted from a break even diagram?

A. Insolvency

B. Margin of safety

C. Market share

D. Net cash flow

E. Profit

MARK SCHEME ANSWER

B - Margin of safety; E - Profit

Nov 2021 · Paper 1 · Q3(b) · §A

Calculate 2 marks

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business from January to April. January: £10 300, February: £9 300, March: £6 400, April: £7 200.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

3 (a) Which **one** of the following is a disadvantage of starting a partnership?

(1)

Select **one** answer.

- ☒ **A** Business owners have different skills
- ☒ **B** Can be easier to raise finance
- ☒ **C** Business decisions affect all partners
- ☒ **D** Financial information is kept private

Figure 1 shows the sales revenue of a business from January to April.

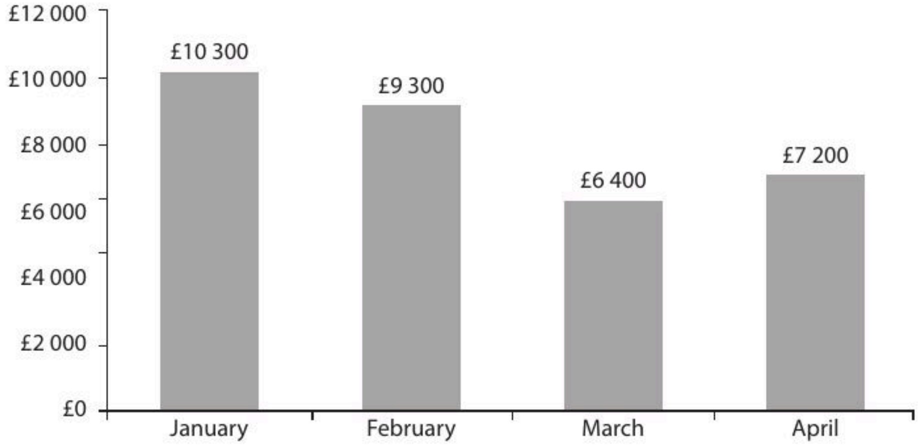

Figure 1

(b) Using the information in Figure 1, calculate, to 2 decimal places, the percentage decrease in sales revenue from January to March. You are advised to show your workings.

(2)

.... %

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P 6 7 6 1 9 A 0 6 2 4

Using the information in Figure 1, calculate, to 2 decimal places, the percentage decrease in sales revenue from January to March. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: ((£6 400 - £10 300)/£10 300) x 100 (1). Answer: 37.86% or -37.86% (1). Award full marks for correct numerical answer without working.

Nov 2021 · Paper 1 · Q6(a) · §B

State 1 marks

CASE STUDY EXTRACT

> Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour. Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from Sports Tours Ltd. In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams. Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities. (Source: adapted from https://www.sports-tours.co.uk/about)

DATA FOR QUESTION 6

> In order to add value to its business activities Sports Tours Ltd is considering two options: Option 1: using professional sports venues for tournaments. Option 2: providing teams with top class coaching when on tour.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour.

(Source: Mike Flippo/Shutterstock)

Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from *Sports Tours Ltd*.

In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams.

Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities.

(Source: adapted from https://www.sports-tours.co.uk/about)

P 6 7 6 1 9 A 0 9 2 4

State one fixed cost that Sports Tours Ltd will need to pay.

MARK SCHEME ANSWER

Award 1 mark for stating one fixed cost that Sports Tours Ltd must pay.

Salaries of the tour operators (1).
Insurance to cover cancellation of tours (1).
Advertising of tours to sports teams (1).

Accept any other appropriate response. Do not accept fixed costs that are not in the context of Sports Tours Ltd. For example, rent for its warehouse.

June 2022 · Paper 1 · Q1(a) · §A MCQ **1 marks**

Which one of the following is an example of a variable cost?

A. Insurance
B. Packaging
C. Rent
D. Salaries

MARK SCHEME ANSWER

The only correct answer is B – Packaging. A is not correct because it is a fixed cost. C is not correct because it is a fixed cost. D is not correct because it is a fixed cost.

June 2022 · Paper 1 · Q2(c) · §A Calculate **2 marks**

DATA FOR QUESTION 2

Table 1 contains information about a small business for one month. Number of sales: 2,700; Variable costs (per unit): £6; Sales price (per unit): £20; Break even level of output: 1,500.

Using the information in Table 1, calculate the margin of safety. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: 2,700 – 1,500 (1). Answer: 1,200 units (1). Award full marks for correct numerical answer without working.

June 2022 · Paper 1 · Q3(c) · §A

Explain **3 marks**

DATA FOR QUESTION 3

> Figure 1 shows the cash-flow of a business from May to August. Cash inflows: May £3,000; June £5,000; July £6,000; August £5,000. Cash outflows: May £4,000; June £3,000; July £3,000; August £4,000.

Explain one way a small business could reduce its variable costs.

MARK SCHEME ANSWER

Award 1 mark for identification of a way of reducing variable costs, plus 2 further marks for explaining this way, up to a total of 3 marks. One way to reduce variable costs is to find a cheaper supplier (1). This means a business will pay less for its raw materials (1). This will lead to a lower cost of production for each unit (1). A business could buy its raw materials in bulk (1). Therefore the business may be given a discount by the supplier (1). This could lead to economies of scale for the business (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

June 2022 · Paper 1 · Q7(a) · §C

State 1 marks

CASE STUDY EXTRACT

> Digital Allies is a private limited company. It supports clients to create marketing materials that can be used in a wide range of digital communications. This includes online advertising, web design, and digital data analysis to ensure clients are getting the most from their digital communications. It also offers training to businesses on how they could use social media and digital communication to improve their marketing. The use of social media is something Digital Allies believes is becoming a major influence on how customers interact with businesses. It manages marketing campaigns across Facebook, Twitter, Instagram, Snapchat and LinkedIn. This allows its clients to target a wide range of consumers and to analyse these communications on social media to give businesses a competitive advantage over their rivals. In February 2019, Digital Allies announced a three-year expansion plan which involved doubling its workforce to 40 employees and moving to new offices. The business believed that this move would allow it to employ people with the most up-to-date knowledge and to become one of the main digital marketing companies in the UK. (Source: adapted from https://digitalallies.co.uk)

DATA FOR QUESTION 7

> Figure 2 shows the number of social media accounts in the UK in 2019. Snapchat 14.5 million; Facebook 40 million; LinkedIn 27 million; Twitter 13.6 million; Instagram 24 million.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

DIGITAL ALLIES

Digital Allies is a private limited company. It supports clients to create marketing materials that can be used in a wide range of digital communications. This includes online advertising, web design, and digital data analysis to ensure clients are getting the most from their digital communications. It also offers training to businesses on how they could use social media and digital communication to improve their marketing.

The use of social media is something *Digital Allies* believes is becoming a major influence on how customers interact with businesses. It manages marketing campaigns across Facebook, Twitter, Instagram, Snapchat and LinkedIn. This allows its clients to target a wide range of consumers and to analyse these communications on social media to give businesses a competitive advantage over their rivals.

In February 2019, *Digital Allies* announced a three-year expansion plan which involved doubling its workforce to 40 employees and moving to new offices. The business believed that this move would allow it to employ people with the most up-to-date knowledge and to become one of the main digital marketing companies in the UK.

Delivering new audiences
through digital.

(Source: adapted from https://digitalallies.co.uk)

State one source of revenue for Digital Allies.

MARK SCHEME ANSWER

Award one mark for stating one source of revenue for Digital Allies. Sales income from web design (1). Fees for attending training courses (1). Consultancy fees from digital marketing campaigns (1). To award 1 mark there must be evidence of application.

June 2023 · Paper 1 · Q2(c) · §A

Calculate **2 marks**

DATA FOR QUESTION 2

> Table 1 contains information about a small business. Fixed costs: £10 000; Variable cost: £2.50 per unit; Selling price: £5.00 per unit; Break even level of output: 4,000 units. The business increases the selling price of its product to £6.50 per unit.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

2 (a) Which **two** of the following are examples of customer needs?

(2)

Select **two** answers.

- ☒ **A** Choice
- ☒ **B** Profit
- ☒ **C** Quality
- ☒ **D** Risk
- ☒ **E** Taxation

(b) Which **two** of the following are roles of an entrepreneur?

(2)

Select **two** answers.

- ☒ **A** Going to university
- ☒ **B** Organising resources
- ☒ **C** Personal satisfaction
- ☒ **D** Taking risks
- ☒ **E** To be a sole trader

Table 1 contains information about a small business.

Fixed costs	£10 000
Variable cost	£2.50 per unit
Selling price	£5.00 per unit
Break even level of output	4,000 units

Table 1

The business increases the selling price of its product to £6.50 per unit.

(c) Using the information in Table 1, calculate the decrease in the break even level of output. You are advised to show your workings.

(2)

.... units

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Using the information in Table 1, calculate the decrease in the break even level of output. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: £10 000 ÷ (£6.50 – £2.50) = 2,500 units. Decrease = 4,000 – 2,500 (1). Answer: 1,500 units (1). Award full marks for correct numerical answer without working.

June 2023 · Paper 1 · Q3(b) · §A

Calculate 2 marks

DATA FOR QUESTION 3

> Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20. February: 6,100 units; March: 7,200 units; April: 8,100 units.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

3 (a) Which **one** of the following could a small business use to add value?

(1)

Select **one** answer.

- ☒ **A** Locate in a convenient place
- ☒ **B** Pay a higher rate of taxation
- ☒ **C** Reduce its cash inflows
- ☒ **D** Use a long-term source of finance

Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20

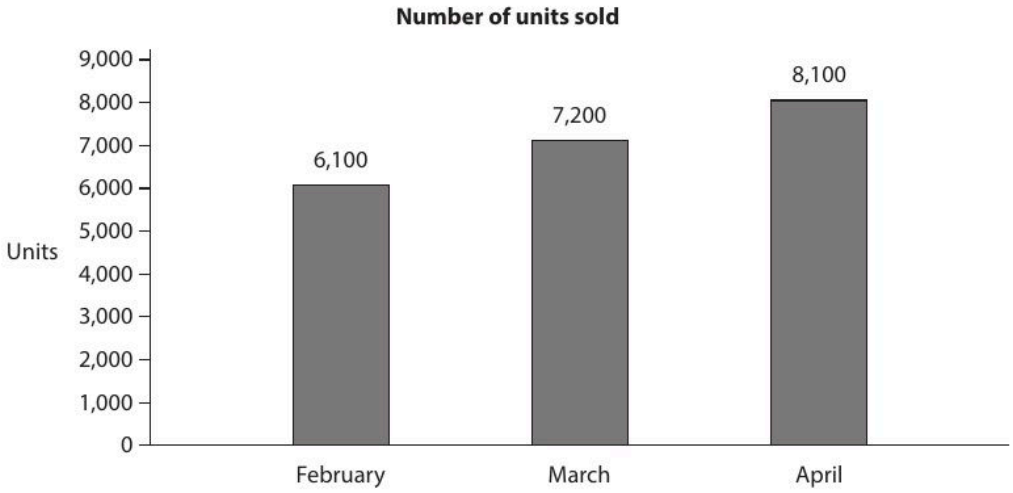

Figure 1

(b) Using the information in Figure 1, calculate the revenue for March. You are advised to show your workings.

(2)

£ ....

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Using the information in Figure 1, calculate the revenue for March. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: £5.20 x 7,200 (1). Answer: £37 440 (1). Award full marks for correct numerical answer without working.

June 2024 · Paper 1 · Q2(c) · §A

Calculate 2 marks

DATA FOR QUESTION 2

Table 1 contains information for a small business. Fixed costs: £7 500; Variable cost: £2 per unit; Selling price: £6 per unit; Output: 5,000 units.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

2 (a) Which **two** of the following could be used to collect secondary market research?

(2)

Select **two** answers.

- ☒ **A** Focus group
- ☒ **B** Internet
- ☒ **C** Market reports
- ☒ **D** Observation
- ☒ **E** Survey

(b) Which **two** of the following are covered by employment law?

(2)

Select **two** answers.

- ☒ **A** Consumer rights
- ☒ **B** Discrimination
- ☒ **C** Health and safety
- ☒ **D** Product quality
- ☒ **E** Taxation

Table 1 contains information for a small business.

Fixed costs	£7 500
Variable cost	£2 per unit
Selling price	£6 per unit
Output	5,000 units

Table 1

(c) Using the information in Table 1, calculate the total costs for the small business. You are advised to show your workings.

(2)

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Using the information in Table 1, calculate the total costs for the small business. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: £7 500 + (5,000 x £2) (1). Answer: £17 500 (1). Award full marks for correct numerical answer without working.

June 2024 · Paper 1 · Q3(b) · §A

Calculate 2 marks

DATA FOR QUESTION 3

Figure 1 shows the number of units sold by a business each month from June to August. The break even level of output for each month was 5,000. June: 4,300; July: 6,700; August: 6,800.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

3 (a) Which **one** of the following is a financial aim for a new business?

(1)

Select **one** answer.

☒ **A** Challenge

☒ **B** Independence

☒ **C** Personal satisfaction

☒ **D** Survival

Figure 1 shows the number of units sold by a business each month from June to August. The break even level of output for each month was 5,000.

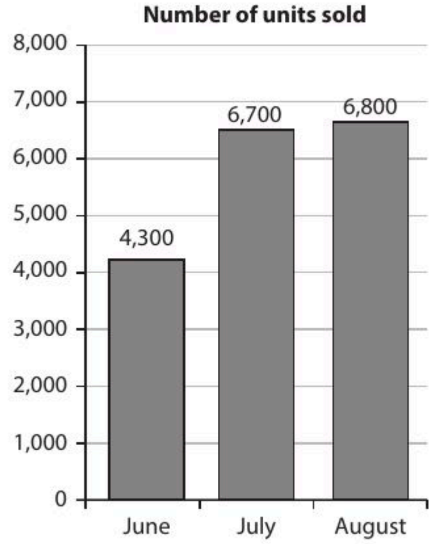

Figure 1

(b) Using the information in Figure 1, calculate the margin of safety for August. You are advised to show your workings.

(2)

.... units

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DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

Using the information in Figure 1, calculate the margin of safety for August. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: 6,800 - 5,000 (1). Answer: 1,800 units (1). Award full marks for correct numerical answer without working.

June 2024 · Paper 1 · Q5(a) · §B

Calculate 2 marks

CASE STUDY EXTRACT

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay Adikoggz to source and design a new pair of trainers to meet their needs. Adikoggz charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20. The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start Adikoggz and the business now receives orders from all over the world. Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of Adikoggz is the personalised service it offers and that every customer will receive a unique product at the end of the process.

DATA FOR QUESTION 5

Table 2 shows how many pairs of trainers were customised by Adikoggz from July to December 2022. July: 52; August: 61; September: 47; October: 34; November: 52; December: 72.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

5 Table 2 shows how many pairs of trainers were customised by *Adikoggz* from July to December 2022.

	Pairs of trainers
July	52
August	61
September	47
October	34
November	52
December	72

Table 2

(a) Using the information in Table 2, calculate the average number of trainers customised per month from July to December 2022. You are advised to show your workings.

(2)

.... pairs

(b) Using the information in Table 2, calculate, to 2 decimal places, the percentage change in sales from November to December 2022.

(2)

.... %

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.

(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from https://www.adikoggz.com/ and https://www.facebook.com/adikoggz)

Using the information in Table 2, calculate the average number of trainers customised per month from July to December 2022. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: (52+61+47+34+52+72) ÷ 6 (1). Answer: 53 pairs (1). Award full marks for correct numerical answer without working.

June 2024 · Paper 1 · Q5(b) · §B

Calculate 2 marks

CASE STUDY EXTRACT

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay Adikoggz to source and design a new pair of trainers to meet their needs. Adikoggz charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20. The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start Adikoggz and the business now receives orders from all over the world. Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of Adikoggz is the personalised service it offers and that every customer will receive a unique product at the end of the process.

DATA FOR QUESTION 5

Table 2 shows how many pairs of trainers were customised by Adikoggz from July to December 2022. July: 52; August: 61; September: 47; October: 34; November: 52; December: 72.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

5 Table 2 shows how many pairs of trainers were customised by *Adikoggz* from July to December 2022.

	Pairs of trainers
July	52
August	61
September	47
October	34
November	52
December	72

Table 2

(a) Using the information in Table 2, calculate the average number of trainers customised per month from July to December 2022. You are advised to show your workings.

(2)

.... pairs

(b) Using the information in Table 2, calculate, to 2 decimal places, the percentage change in sales from November to December 2022.

(2)

.... %

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.

(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from https://www.adikoggz.com/ and https://www.facebook.com/adikoggz)

Using the information in Table 2, calculate, to 2 decimal places, the percentage change in sales from November to December 2022.

MARK SCHEME ANSWER

Substitution into correct formula: (20 ÷ 52) x 100 (1). Answer: 38.46% (1). Award full marks for correct numerical answer without working.

June 2024 · Paper 1 · Q7(a) · §C

State 1 marks

CASE STUDY EXTRACT

> Performance Fitness Centre (PFC) is an independent gym and fitness studio. It has been open for seven years and has over 200 members. Members pay a fee of £39 per month for unlimited access to the gym and fitness classes that take place five days per week. Non-members can also pay to use the gym for each individual session they attend. The gym at PFC is stocked with high specification equipment and weight machines. As a result, it has become very popular with customers interested in maintaining a high level of personal fitness. It has an equal number of male and female customers, but the owner has noticed that there is a lower number of members from people aged over 50. He believes that this may be because they feel out of place amongst the younger membership. Over the past year a new gym that is part of a large national chain has opened nearby. It is much larger and membership fees at the new gym are only £19 per month. PFC has seen a reduction in new members joining the gym and is now considering what it can do to compete with its larger and cheaper rival. Its current members are loyal and enjoy the high quality offered at PFC.

DATA FOR QUESTION 7

> Table 3 shows the % of the local population that has a gym membership in different regions of the UK. Scotland: 15%; North east: 15%; North west: 16%; Yorkshire: 16%; East Midlands: 12%; West Midlands: 13%; Wales: 13%; South west: 10%; South east: 13%; London: 18%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 3 and read Extract B, then answer Question 7.

7 (a) State **one** example of a fixed cost for *PFC*.

(1)

Table 3 shows the % of the local population that has a gym membership in different regions of the UK.

Region	% membership
Scotland	15%
North east	15%
North west	16%
Yorkshire	16%
East Midlands	12%
West Midlands	13%
Wales	13%
South west	10%
South east	13%
London	18%

(Source: adapted from Yougov survey 2022)

Table 3

(b) Using the information in Table 3, identify which region had the lowest level of gym membership in the UK.

(1)

SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B

(Source: © Stefan Dahl Langstrup / Alamy Stock Photo)

Figure 3

Performance Fitness Centre (*PFC*) is an independent gym and fitness studio. It has been open for seven years and has over 200 members. Members pay a fee of £39 per month for unlimited access to the gym and fitness classes that take place five days per week. Non-members can also pay to use the gym for each individual session they attend.

The gym at *PFC* is stocked with high specification equipment and weight machines. As a result, it has become very popular with customers interested in maintaining a high level of personal fitness. It has an equal number of male and female customers, but the owner has noticed that there is a lower number of members from people aged over 50. He believes that this may be because they feel out of place amongst the younger membership.

Over the past year a new gym that is part of a large national chain has opened nearby. It is much larger and membership fees at the new gym are only £19 per month. *PFC* has seen a reduction in new members joining the gym and is now considering what it can do to compete with its larger and cheaper rival. Its current members are loyal and enjoy the high quality offered at *PFC*.

State one example of a fixed cost for PFC.

MARK SCHEME ANSWER

Award one mark for stating one fixed cost for PFC. Rent for the gym premises (1). Advertising to attract new members (1). Salaries for gym instructors (1). To award 1 mark there must be evidence of application.

1.3.3 Cash and cash-flow (15 questions)

Specimen SAMs · Paper 1 · Q2(c)(i) · §A

Complete **1 marks**

DATA FOR QUESTION 2

The table below shows the cash-flow forecast for a small business. Receipts: August 17 400, September 21 770. Raw materials: August 8 050, September 9 340. Fixed costs: August 2 120, September 2 340. Total payments: August 10 170, September (ii). Net cash flow: August (i), September 10 090. Opening balance: August 5 300, September 12 530. Closing balance: August 12 530, September 22 620.

Complete the table with the two missing figures. (i) Net cash flow August.

MARK SCHEME ANSWER

7,230. Do not accept any other answer.

Specimen SAMs · Paper 1 · Q2(c)(ii) · §A

Complete **1 marks**

DATA FOR QUESTION 2

The table below shows the cash-flow forecast for a small business. Receipts: August 17 400, September 21 770. Raw materials: August 8 050, September 9 340. Fixed costs: August 2 120, September 2 340. Total payments: August 10 170, September (ii). Net cash flow: August (i), September 10 090. Opening balance: August 5 300, September 12 530. Closing balance: August 12 530, September 22 620.

Complete the table with the two missing figures. (ii) Total payments September.

MARK SCHEME ANSWER

11,680. Do not accept any other answer.

June 2019 · Paper 1 · Q3(a) · §A

MCQ 1 marks

DATA FOR QUESTION 3

> Figure 1 shows information about the financial performance of a business from January to March. January: Revenue £12 000, Total costs £8 000. February: Revenue £14 000, Total costs £10 000. March: Revenue £10 000, Total costs £12 000.

Which one of the following is an example of a cash outflow for a small business?

A. Bank loan
B. Personal savings
C. Raw materials
D. Receipts

MARK SCHEME ANSWER

C - Raw materials (1)

June 2019 · Paper 1 · Q3(e) · §A

Discuss 6 marks

DATA FOR QUESTION 3

> Figure 1 shows information about the financial performance of a business from January to March. January: Revenue £12 000, Total costs £8 000. February: Revenue £14 000, Total costs £10 000. March: Revenue £10 000, Total costs £12 000.

Discuss the importance of cash to the survival of a small business.

MARK SCHEME ANSWER

Indicative content: Having access to cash will allow the business to pay its suppliers on time (AO1b). Having a positive net cash flow will prevent insolvency in a small business (AO1b). If a business fails to pay its suppliers on time then they will lose trust and will not allow the business to purchase goods using credit (AO3a). Without cash a business will struggle to pay running costs such as wages and rent. This could cause the business to close down (AO3a). Level 1 (1-2 marks): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Nov 2020 · Paper 1 · Q2(c) · §A

Calculate 2 marks

DATA FOR QUESTION 2

> Table 1 contains information about cash payments of a small business in one month. The business sold 200 units in this month. All customers paid in cash. Selling price £15; Rent £500; Wages £1,000; Advertising £150.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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Table 1 contains information about cash payments of a small business in one month.
The business sold 200 units in this month. All customers paid in cash.

Selling price	£15
Rent	£500
Wages	£1 000
Advertising	£150

Table 1

(c) Using the information in Table 1, calculate the net cash flow for this month
You are advised to show your workings.

(2)

£ ....

(d) Explain **one** disadvantage of starting a small business as a partnership.

(3)

....

....

....

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....

Using the information in Table 1, calculate the net cash flow for this month. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: Cash inflows = 200 x £15 = £3,000. Cash outflows = £500 + £1,000 + £150 = £1,650. Net cash flow = £3,000 - £1,650 (1). Answer: £1,350 (1). Award full marks for correct numerical answer without working.

Nov 2020 · Paper 1 · Q4(a) · §B

Outline 2 marks

CASE STUDY EXTRACT

> On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking. The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura. On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows On Your Bike to offer exceptional customer service and advice. The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, On Your Bike operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes. Figure 2 shows a customer review from a comparison website: Five stars - Reviewed 28 February 2019 - 'Great Service!!! Great customer service, particularly from Miles. They have a great range of bikes for hire too!' - Member: Sydney, Australia.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking.

The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura.

(Source: © Ramon Espelt Photography/Shutterstock)

On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows *On Your Bike* to offer exceptional customer service and advice.

The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, *On Your Bike* operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes.

Figure 2 shows a customer review from a comparison website.

Figure 2

Nov 2020 P1 page 10

Outline one reason why cash would be important to On Your Bike.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a reason why cash is important to On Your Bike. Award a maximum of 1 mark if points are not linked. Cash will allow On Your Bike to pay its suppliers (1). This may ensure it can continue to stock a wide range of cycles (1). On Your Bike could use cash to pay its employees (1). If it can't pay the mechanics, the correct pay they may leave for another cycle shop (1). Do not accept a reason that would not be appropriate for On Your Bike. For example, cash would be important for buying raw materials.

Nov 2021 · Paper 1 · Q1(c) · §A Explain **3 marks**

Explain one drawback to a business of having low levels of cash.

MARK SCHEME ANSWER

Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks.

A business with low levels of cash may not be able to pay suppliers (1). This would damage relationships with suppliers (1), which means the business may not have sufficient levels of raw materials (1).

A business may not be able to pay its employee wages or salaries (1). This is bad because employees may leave the business to find work elsewhere (1). This will lead to increased labour turnover (1).

Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

Nov 2021 · Paper 1 · Q2(c) · §A Complete **2 marks**

DATA FOR QUESTION 2

Table 1 shows the cash-flow forecast for a small business. May - Cash inflows: £12 600, Cash outflows: £8 200, Net cash flow: £4 400, Opening balance: £600, Closing balance: (i). June - Cash inflows: £13 400, Cash outflows: £9 100, Net cash flow: (ii), Opening balance: £5 000, Closing balance: £9 300.

Complete the table with the two missing figures.

MARK SCHEME ANSWER

(i) 5 000; (ii) 4 300

Nov 2021 · Paper 1 · Q7(a) · §C

State 1 marks

CASE STUDY EXTRACT

> That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli. The unique nature of That Feeling not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells That Feeling branded clothes and vintage glasses frames. When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated: 'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.' Justin now acts as a mentor to staff members at That Feeling by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business. (Source: adapted from https://thatfeeling.co.uk/ and interview with Justin Carr 29/05/2019)

DATA FOR QUESTION 7

> Figure 2 shows the age of entrepreneurs starting businesses in the UK since 2000. 16 to 34: 10%, 35 to 44: 25%, 45 to 54: 31%, 55 to 64: 26%, Over 65: 7%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION C

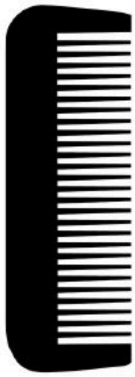
Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: N 454 R/Shutterstock)

(Source: Flat_Enot/Shutterstock)



(Source: OnD/Shutterstock)

That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli.

The unique nature of *That Feeling* not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells *That Feeling* branded clothes and vintage glasses frames.

When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated:

'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.'

Justin now acts as a mentor to staff members at *That Feeling* by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business.

(Source: adapted from https://thatfeeling.co.uk/ and interview with Justin Carr 29/05/2019)

State one example of a cash outflow for That Feeling.

MARK SCHEME ANSWER

Award 1 mark for stating one cash outflow for That Feeling.

Rent for the barber shop premises (1).
Raw materials/stock of hair products (1).
The cost of the vintage glasses frames (1).

Accept any other appropriate response. Do not accept an outflow that is not in the context of That Feeling. For example, transport costs.

June 2022 · Paper 1 · Q2(b) · §A MCQ **2 marks**

DATA FOR QUESTION 2

Table 1 contains information about a small business for one month. Number of sales: 2,700; Variable costs (per unit): £6; Sales price (per unit): £20; Break even level of output: 1,500.

Which two of the following are examples of cash inflows?

A. Bank loan
B. Insurance
C. Raw materials
D. Receipts
E. Wages

MARK SCHEME ANSWER

The only correct answers are A – Bank loan and D – Receipts. B is not correct because it is an example of a cash outflow. C is not correct because it is an example of a cash outflow. E is not correct because it is an example of a cash outflow.

June 2022 · Paper 1 · Q3(a) · §A

MCQ 1 marks

DATA FOR QUESTION 3

Figure 1 shows the cash-flow of a business from May to August. Cash inflows: May £3,000; June £5,000; July £6,000; August £5,000. Cash outflows: May £4,000; June £3,000; July £3,000; August £4,000.

Which one of the following is a definition of insolvency?

A. A product becoming obsolete
B. Business failure due to unpaid debts
C. Generating high levels of revenue
D. Understanding the business environment

MARK SCHEME ANSWER

The only correct answer is B – Business failure due to unpaid debts. A is not correct because it is a reason why new business ideas come about. C is not correct because it is a business objective. D is not correct because it is the factors that affects a business.

June 2022 · Paper 1 · Q3(b) · §A

Calculate 2 marks

DATA FOR QUESTION 3

> Figure 1 shows the cash-flow of a business from May to August. Cash inflows: May £3,000; June £5,000; July £6,000; August £5,000. Cash outflows: May £4,000; June £3,000; July £3,000; August £4,000.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

3 (a) Which **one** of the following is a definition of insolvency?

(1)

Select **one** answer.

☒ **A** A product becoming obsolete

☒ **B** Business failure due to unpaid debts

☒ **C** Generating high levels of revenue

☒ **D** Understanding the business environment

Figure 1 shows the cash-flow of a business from May to August.

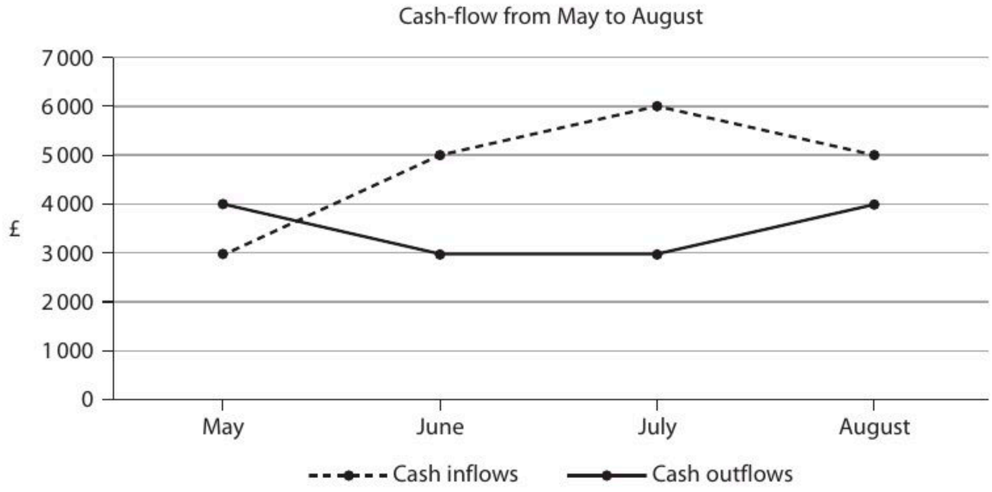


Figure 1

(b) Using the information in Figure 1, calculate the total net cash-flow from May to August. You are advised to show your workings.

(2)

£ ....

Using the information in Figure 1, calculate the total net cash-flow from May to August. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: (£1 000)+£2 000+£3 000+£1 000 (1). Answer: £5 000 (1). Award full marks for correct numerical answer without working.

June 2023 · Paper 1 · Q5(a) · §B

Calculate 2 marks

CASE STUDY EXTRACT

> Extract A: Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area. Amelia is now in a position where she wants to start her own plumbing business called Lili Heating Ltd. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes. As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend Lili Heating Ltd to their friends and families. For this to happen she knows that her work must be of the highest standard. Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

DATA FOR QUESTION 5

> Table 2 shows forecasts from the business plan for month one of Lili Heating Ltd. Cash inflows: £8 600; Cash outflows: £11 000; Opening balance: £4 000.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

5 Table 2 shows forecasts from the business plan for month one of *Lili Heating Ltd*.

Cash inflows	Cash outflows	Opening balance
£8 600	£11 000	£4 000

Table 2

(a) Using the information in Table 2, calculate *Lili Heating Ltd*'s forecasted closing balance at the end of month one. You are advised to show your workings.

(2)

£ ....

P 7 1 0 3 6 A 0 1 1 2 4

Turn over

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

(Source: © Shutterstock)

Figure 2

Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area.

Amelia is now in a position where she wants to start her own plumbing business called *Lili Heating Ltd*. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes.

As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend *Lili Heating Ltd* to their friends and families. For this to happen she knows that her work must be of the highest standard.

Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

Using the information in Table 2, calculate Lili Heating Ltd's forecasted closing balance at the end of month one. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: £4 000 + (£8 600 - £11 000) (1). Answer: £1 600 (1). Award full marks for correct numerical answer without working.

June 2024 · Paper 1 · Q1(b) · §A

MCQ **1 marks**

Which one of the following is a definition of insolvency?

A. Business failure due to unpaid debts

B. Credit offered by suppliers

C. The cost of borrowing money

D. When two businesses join together

MARK SCHEME ANSWER

The only correct answer is A - Business failure due to unpaid debts. B is not correct because it is a definition of trade credit. C is not correct because it is a definition of interest. D is not correct because it is a definition of a merger.

June 2024 · Paper 1 · Q6(a) · §B

State 1 marks

CASE STUDY EXTRACT

> Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay Adikoggz to source and design a new pair of trainers to meet their needs. Adikoggz charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20. The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start Adikoggz and the business now receives orders from all over the world. Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of Adikoggz is the personalised service it offers and that every customer will receive a unique product at the end of the process.

DATA FOR QUESTION 6

> To help prevent cash-flow problems Adikoggz is considering two options as a short-term source of finance: Option 1: an overdraft from the bank. Option 2: trade credit from suppliers.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.

(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from https://www.adikoggz.com/ and https://www.facebook.com/adikoggz)

State one example of a cash inflow for Adikoggz.

MARK SCHEME ANSWER

Award 1 mark for stating one cash inflow for Adikoggz. Sales from customised trainers (1). Receipts from deep cleaning (1). Capital from Keilan (1). To award 1 mark there must be evidence of application.

1.3.4 Sources of business finance (18 questions)

Specimen SAMs · Paper 1 · Q5(b) · §B

Calculate 2 marks

CASE STUDY EXTRACT

> Extract A: Neil and Sue Chatterton own and run Meringue bakery and cafe. This is located close to a town centre and has lots of passing trade. Meringue produces high-quality bread and pastries using traditional methods and high-quality ingredients. Since opening 12 months ago sales have grown strongly. At busy times a queue builds up at the counter as customers wait to pay. Online reviews indicate that this is something that needs to improve. Neil and Sue are now planning to make greater use of technology to promote the business, and to reduce the time that customers have to wait to pay their bills. The website has been redesigned to allow customers to order their food before they arrive at the cafe. A contactless payment system will allow customers to pay securely by tapping their smart phones on a reader. Figure 2 shows a TripAdvisor review for Meringue: 'Very good but......' Reviewed 21 October 2013. Excellent food and very friendly staff. This was our first visit and we were made to feel very welcome. Our only complaint, and the reason why we didn't award 5 stars, is due to the time it took to pay for our food when we had finished. Long queue and only one till! Took us 20 minutes...

DATA FOR QUESTION 5

> As a result of the queues in the shop, Neil and Sue have decided to implement a contactless payment system at Meringue.

ADDITIONAL INFORMATION

> The cost of the contactless payment system is £4 500. Neil and Sue plan to borrow the money from their bank. They will repay the loan over three years. Their monthly repayment is £136.50.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

7 (a) State **one** risk that Sally faces in starting this business.

(1)

(b) Identify which of Sally's competitors is the most expensive per hour.

(1)

(c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

(d) Justify whether or not Sally should buy a franchise.

(9)

Specimen SAMs P1 page 26

Calculate the total interest Neil and Sue will pay for this loan as a percentage of the total amount borrowed. You are advised to show your workings.

MARK SCHEME ANSWER

Loan = £4,500. Total repayments = 36 × £136.50 = £4 914. Interest = £4 914 – £4,500 = £414. Substitution into correct formula: Total interest = 414/4500 × 100 (1). Answer: 9.2% (1). Award full marks for correct numerical answer without working.

Specimen SAMs · Paper 1 · Q5(c) · §B

Analyse 6 marks

CASE STUDY EXTRACT

> Extract A: Neil and Sue Chatterton own and run Meringue bakery and cafe. This is located close to a town centre and has lots of passing trade. Meringue produces high-quality bread and pastries using traditional methods and high-quality ingredients. Since opening 12 months ago sales have grown strongly. At busy times a queue builds up at the counter as customers wait to pay. Online reviews indicate that this is something that needs to improve. Neil and Sue are now planning to make greater use of technology to promote the business, and to reduce the time that customers have to wait to pay their bills. The website has been redesigned to allow customers to order their food before they arrive at the cafe. A contactless payment system will allow customers to pay securely by tapping their smart phones on a reader. Figure 2 shows a TripAdvisor review for Meringue: 'Very good but......' Reviewed 21 October 2013. Excellent food and very friendly staff. This was our first visit and we were made to feel very welcome. Our only complaint, and the reason why we didn't award 5 stars, is due to the time it took to pay for our food when we had finished. Long queue and only one till! Took us 20 minutes...

DATA FOR QUESTION 5

> As a result of the queues in the shop, Neil and Sue have decided to implement a contactless payment system at Meringue.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

7 (a) State **one** risk that Sally faces in starting this business.

(1)

(b) Identify which of Sally's competitors is the most expensive per hour.

(1)

(c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

(d) Justify whether or not Sally should buy a franchise.

(9)

Specimen SAMs P1 page 26

Analyse the impact on Meringue of using a bank loan to pay for the contactless payment system.

MARK SCHEME ANSWER

Indicative content: The owners of Meringue have a number of priorities, including the development of the website, and therefore need to use some external finance to fund the work, which will increase their costs (AO2). Higher fixed costs will increase the amount of food and drink that needs to be sold to break even (AO2). This will mean that monthly fixed costs for the business will increase, which might affect profitability. However, if the contactless system helps to improve customer experience, Meringue is likely to see increased customer numbers, which will offset the increased costs (AO3a). Neil and Sue need to ensure that the size of the monthly payment does not result in a break-even level of sales that is unrealistic. Competition from local cafes is present and any increase in costs may result in the need to charge higher prices, which could be damaging (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application... Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Specimen SAMs · Paper 2 · Q3(a) · §A MCQ **1 marks**

DATA FOR QUESTION 3

Figure 1 shows sales volumes for a business during the first three months of 2016: January 3000, February 5000, March 4000. The selling price of the product is £500.

Which one of the following is an internal source of finance?

A. Share capital
B. Loan capital
C. Sales revenue
D. Selling assets

MARK SCHEME ANSWER

D

June 2019 · Paper 1 · Q1(a) · §A MCQ **1 marks**

Which one of the following is a short-term source of finance?

A. Retained profit
B. Share capital
C. Trade credit
D. Venture capital

MARK SCHEME ANSWER

C - Trade credit (1)

June 2019 · Paper 1 · Q7(d) · §C

Justify 9 marks

CASE STUDY EXTRACT

> Aphrodite is a clothes shop that was formed in 1994 by two brothers, Andrew and Duncan McKenzie. They opened the shop because they had a lifelong enthusiasm for new fashion. Andrew and Duncan visit Paris, Milan and London each year to buy their stock. They aim to buy well-known brands, such as Stone Island and Hugo Boss, and to also stock clothes from new designers. This range of stock helps provide them with an advantage over their competition. Customer service has always been an important part of Aphrodite's success. A polite and friendly attitude greets all customers on arrival at the shop. In 2007 the business launched its website, which sells its range of clothing using e-commerce. The owners looked to maintain existing high standards of service for customers using their website. A new opportunity was created when the shop premises next to Aphrodite became available to buy. Andrew and Duncan are considering buying the shop in order to convert the two shops into one large premises. They have calculated that this will cost them £250 000 but are undecided on the best way to finance this. Figure 2 shows information about interest rates that might help them when making their decision. UK Interest Rate from Jan-08 (5.00%) falling to 0.50% by Jan-09 and remaining around 0.25% until Jan-16.

DATA FOR QUESTION 7

> Aphrodite case study. Table 3 shows the value of the pound (£) in euros (€) from June to September. June: 1.13; July: 1.11; August: 1.09; September: 1.14.

ADDITIONAL INFORMATION

> Aphrodite case study. To pay for the conversion of the premises, Aphrodite is considering two options: Option 1: obtaining a bank loan; Option 2: crowd funding.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

aphrodite

© Aphrodite Clothing

Aphrodite is a clothes shop that was formed in 1994 by two brothers, Andrew and Duncan McKenzie. They opened the shop because they had a lifelong enthusiasm for new fashion.

Andrew and Duncan visit Paris, Milan and London each year to buy their stock. They aim to buy well-known brands, such as Stone Island and Hugo Boss, and to also stock clothes from new designers. This range of stock helps provide them with an advantage over their competition.

Customer service has always been an important part of *Aphrodite*'s success. A polite and friendly attitude greets all customers on arrival at the shop. In 2007 the business launched its website, which sells its range of clothing using e-commerce. The owners looked to maintain existing high standards of service for customers using their website.

A new opportunity was created when the shop premises next to *Aphrodite* became available to buy. Andrew and Duncan are considering buying the shop in order to convert the two shops into one large premises. They have calculated that this will cost them £250 000 but are undecided on the best way to finance this.

Figure 2 shows information about interest rates that might help them when making their decision.

(Source: adapted from https://www.aphrodite1994.com/about-us and interview with owner 9/10/2017; photo: © fiphoto/Shutterstock)

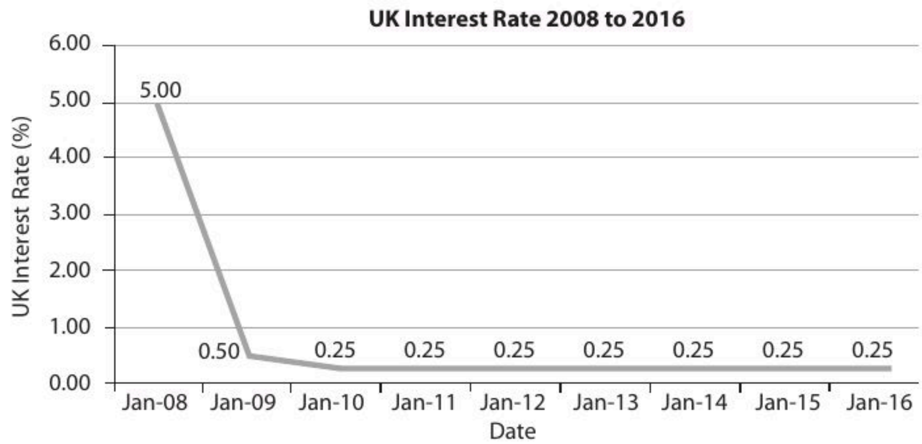


Figure 2

Justify which one of these two options Aphrodite should choose.

MARK SCHEME ANSWER

Indicative content: A loan is an external source of finance which means that the brothers can use retained profit at a later date (AO2). Crowd funding is a source of finance that will not require any interest to be paid when financing the conversion (AO2). Figure 2 shows that interest rates are very low. It makes financial sense to take advantage of this and obtain a loan. The interest rate will be fixed so Aphrodite would continue to benefit from the low rate for the full duration of the loan (AO3a). If no interest is paid on finance then Aphrodite can keep its costs low. This will be beneficial as it goes through a period of change. It is better to use crowd funding to grow the business as it reduces financial risk (AO3a). Despite the previous success of Aphrodite, the bank may be reluctant to provide a loan. Even if the bank agrees it will require financial plans for the expansion and may even ask for security from Aphrodite to secure the loan (AO3b). Aphrodite is expanding the premises for the first time. They may encounter unexpected building problems when they start to convert next-door. If the brothers do not raise enough money through crowd funding then they will not be able to cover any additional costs (AO3b). NB: There are a number of different types of crowdfunding and some candidates may refer to them. These include: 1. Rewards-based crowdfunding 2. Donation-based crowdfunding 3. Equity crowdfunding 4. Debt crowdfunding. Please take this into account when marking this question. Level 1 (1-3 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

June 2019 · Paper 2 · Q1(b) · §A MCQ **1 marks**

Which one of the following is an example of an internal source of finance?

A. Loan capital

B. Selling assets

C. Share capital

D. Stock market flotation

MARK SCHEME ANSWER

B - Selling assets (1)

June 2019 · Paper 2 · Q6(c) · §B

Justify 9 marks

CASE STUDY EXTRACT

> Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012. In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers. Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

DATA FOR QUESTION 6

> Mind Candy case study (believes Petlandia will allow it to return to organic growth).

ADDITIONAL INFORMATION

> Mind Candy case study. In order to raise the £1.2 million of extra finance needed, Mind Candy considered two options: Option 1: retained profit; Option 2: share capital.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

© Mind Candy

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012.

In 2013, *Mind Candy* made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, *Mind Candy* reduced its workforce of software developers.

(Source from: https://www.petlandia.com/custom-book.html#create)

Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. *Mind Candy* believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

(Source from: 'Moshi Monsters maker Mind Candy fears adminstration as sales tumble further' by Christopher Williams, 11 OCTOBER 2016 © Telegraph Media Group Limited)

Justify which one of these two options Mind Candy should choose.

MARK SCHEME ANSWER

Indicative content: Mind Candy could use the retained profit from its successful game Moshi Monsters to raise the £1.2 million required (AO2). Mind Candy could issue more shares since there may be investors willing to take a risk and purchase these shares considering the company had a global hit game in 2012 (AO2). This is because retained profit involves no borrowing from external sources. Therefore, it is a cheap method of raising the finance required since Mind Candy will not pay interest if it uses this source. As a result, fixed costs may be lower (AO3a). The newly issued shares would be a low-risk method of raising finance for Mind Candy. This is because it would not involve debt or the cash flow commitment of having to repay bank loans with interest at specific points in time. Therefore, Mind Candy can raise the finance needed without increasing the chances of failure (AO3a). However, Moshi Monsters was a global hit in 2012 and the losses made in 2013 suggest that Mind Candy does not have £1.2 million of retained profit left in the form of cash to use. As a result, it is unlikely that this method of raising finance can be used (AO3b). However, since the company made large losses in 2013, Mind Candy would have to issue a large number of shares to raise the extra £1.2 million. This may reduce the percentage ownership of the existing shareholders (AO3b). Level 1 (1-3 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Nov 2020 · Paper 1 · Q1(d) · §A Explain **3 marks**

Explain one advantage to a small business of using trade credit as a source of finance.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Trade credit will allow a small business to buy now and pay later (1). This means the business has a chance to sell the goods before it has to pay its supplier (1). This will improve the cash-flow of the small business (1). Trade credit is a low-cost source of finance (1). If credit terms are met then no interest is charged (1). This will reduce the costs of the small business (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Nov 2021 · Paper 1 · Q1(a) · §A

MCQ 1 marks

Which one of the following is a long-term source of finance?

A. Overdraft

B. Revenue

C. Trade credit

D. Venture capital

MARK SCHEME ANSWER

D - Venture capital

Nov 2021 · Paper 2 · Q6(c) · §B

Justify 9 marks

CASE STUDY EXTRACT

> Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at $50 000 and the company wanted to reduce this price to $35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a $976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest $5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only $2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/ and https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory)

DATA FOR QUESTION 6

> In order to raise the finance for its new Chinese factory, Tesla is considering two options: Option 1: share capital. Option 2: loan capital.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the *Tesla* Model 3 (Figure 3).

Introduced in 2017, the basic version of the Model 3 was originally priced at $50 000 and the company wanted to reduce this price to $35 000 by 2019. However, this was difficult to achieve because *Tesla*'s California factory suffered from low levels of productivity. These problems resulted in *Tesla* making a $976 million loss in 2018.

(Source: Grzegorz Czapski/Shutterstock)

Figure 3: *Tesla* Model 3 electric car

Following the introduction of tariffs on US imports by the Chinese government in 2018, *Tesla* decided to invest $5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only $2.4 billion of available capital, *Tesla* needs to raise external finance to fund it.

In 2019, *Tesla* decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce.

(Source: adapted from https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/ and https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory)

Justify which one of these two options Tesla should choose.

MARK SCHEME ANSWER

Indicative content: Tesla may be forced to issue more shares because it requires so much finance ($5 billion) (AO2). Banks may be willing to lend Tesla the $5 billion required because it is planning to produce a car which potentially could sell millions of units worldwide (AO2). This may be a successful share issue since potential shareholders would be willing to take the risk to invest in Tesla due to the potential profits that the Model 3 car would generate if it is successful. Therefore, Tesla should be able to generate the large amount of capital required to fund the expansion (AO3a). This loan would immediately boost cash flow and be a faster source of finance to generate than a share issue, allowing Tesla to build its factory in Shanghai before competitors such as VW and Renault enter the market (AO3a). However, Tesla made a $976 million loss in 2018 which makes the purchase of shares quite risky. Therefore, the percentage ownership of existing shareholders may be diluted by more than Mr Musk wants, in order to secure the $5 billion in funding required (AO3b). However, banks may view Tesla as being a high-risk company due to the $976 million loss it made. As a result, it may charge high interest rates on any loan which may reduce the profitability of Tesla and lead to cash flow difficulties (AO3b). Level 1 (1-3): Limited application; simple justification. Level 2 (4-6): Sound application; sound justification. Level 3 (7-9): Detailed application; clear justification based on thorough evaluation.

June 2022 · Paper 1 · Q2(d) · §A Explain **3 marks**

DATA FOR QUESTION 2

> Table 1 contains information about a small business for one month. Number of sales: 2,700; Variable costs (per unit): £6; Sales price (per unit): £20; Break even level of output: 1,500.

Explain one disadvantage to a small business of using an overdraft as a source of business finance.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Overdrafts can be an expensive source of finance (1). The bank may charge a high rate of interest for the overdraft facility (1). This will lead to an increase in costs for the business (1). Overdrafts cannot be used for long-term financial projects (1). This will prevent a business from using the overdraft to fund investment (1). Therefore, the business may struggle to finance long-term growth (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

June 2022 · Paper 1 · Q5(a) · §B

Calculate 2 marks

CASE STUDY EXTRACT

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes. Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started Little Movers as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children. To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the Little Movers brand, being the only Little Movers franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes. This approach proved to be highly successful. Little Movers now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai. (Source: adapted from http://www.littlemovers.net/our-classes)

DATA FOR QUESTION 5

When starting the business in 2007, Melanie took out a loan. The financial details of this loan are in Table 2. Loan required from the bank: £10,000; Total repayments for loan: £11,100; Length of loan: 3 years.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes.

Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started *Little Movers* as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children.

To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the *Little Movers* brand, being the only *Little Movers* franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes.

This approach proved to be highly successful. *Little Movers* now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai.

(Source: adapted from http://www.littlemovers.net/our-classes)

June 2022 P1 page 9

Using the information in Table 2, calculate the interest on the loan as a percentage of the total amount borrowed. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: ((£11 100 - £10 000) ÷ £10 000) x 100 (1). Answer: 11% (1). Award full marks for correct numerical answer without working.

June 2022 · Paper 1 · Q5(b) · §B

Calculate 2 marks

CASE STUDY EXTRACT

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes. Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started Little Movers as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children. To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the Little Movers brand, being the only Little Movers franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes. This approach proved to be highly successful. Little Movers now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai. (Source: adapted from http://www.littlemovers.net/our-classes)

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SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes.

Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started *Little Movers* as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children.

To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the *Little Movers* brand, being the only *Little Movers* franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes.

This approach proved to be highly successful. *Little Movers* now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai.

(Source: adapted from http://www.littlemovers.net/our-classes)

Using the information in Table 2, calculate, to 2 decimal places, the monthly repayments for the loan. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: £11 100 ÷ 36 (1). Answer: £308.33 (1). Award full marks for correct numerical answer without working.

June 2022 · Paper 2 · Q3(e) · §A Discuss **6 marks**

DATA FOR QUESTION 3

> Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020. Barnsley £10,000; Doncaster £70,000; Rotherham £30,000; Sheffield £90,000.

Discuss the impact on a company of using retained profit as a source of finance for expansion.

MARK SCHEME ANSWER

Indicative content: Retained profit is often not large enough to be able to fund the expansion plans of a business (AO1b). This may mean that the business does not have to use other sources of finances such as share capital (AO1b). Therefore, other sources of finance will also need to be used to fund the expansion plans which will either increase fixed costs (bank loans) or dilute the ownership of existing shareholders (share capital) (AO3a). Therefore, by using retained profit there would be no need to dilute the ownership of existing shareholders (AO3a). Levels: Level 0 No rewardable material. Level 1 (1–2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2023 · Paper 1 · Q3(d) · §A

Explain **3 marks**

DATA FOR QUESTION 3

> Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20. February: 6,100 units; March: 7,200 units; April: 8,100 units.

Explain one advantage to a small business from using retained profit as a source of finance.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Retained profit is a cheap source of finance (1). This is because interest is not paid on retained profit (1). Therefore, the business would not experience an increase in costs (1). Retained profit does not dilute the ownership of the business (1). This is because the owner(s) keep full control of all decisions made since no new shares are issued (1). This may lead to decisions being made quicker in the business (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

June 2023 · Paper 2 · Q2(d) · §A

Explain **3 marks**

DATA FOR QUESTION 2

> Table 1 contains financial information about a business. Sales revenue: £900 000; Cost of sales: £325 000; Other operating expenses and interest: £175 000; Net profit: £400 000.

Explain one disadvantage to a business of using loan capital as a source of finance.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Interest will have to be paid on the loan (1). Therefore, the fixed costs of the business will increase (1). As a result, the profit of the business may fall (1). The loan will have to be repaid (1). Therefore, the business will incur larger cash outflows (1). As a result, the business may be at a greater risk of insolvency or cash-flow problems (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

June 2024 · Paper 1 · Q2(d) · §A

Explain 3 marks

DATA FOR QUESTION 2

Table 1 contains information for a small business. Fixed costs: £7 500; Variable cost: £2 per unit; Selling price: £6 per unit; Output: 5,000 units.

Explain one disadvantage to a small business from using retained profit for expansion.

MARK SCHEME ANSWER

Award 1 mark for a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Retained profit may not be sufficient (1). This is because a small business may not generate any profit (1). Therefore, there would not be enough funds for expansion (1). Retained profit will not be available for other uses in the business (1). Once it has been used it cannot be used again (1). Therefore, the business may have to use more expensive sources of finance in the future (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

June 2024 · Paper 1 · Q6(c) · §B

Justify **9 marks**

CASE STUDY EXTRACT

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay Adikoggz to source and design a new pair of trainers to meet their needs. Adikoggz charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20. The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start Adikoggz and the business now receives orders from all over the world. Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of Adikoggz is the personalised service it offers and that every customer will receive a unique product at the end of the process.

DATA FOR QUESTION 6

To help prevent cash-flow problems Adikoggz is considering two options as a short-term source of finance: Option 1: an overdraft from the bank. Option 2: trade credit from suppliers.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.

(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from https://www.adikoggz.com/ and https://www.facebook.com/adikoggz)

June 2024 P1 page 26

Justify which one of these two options Adikoggz should choose.

MARK SCHEME ANSWER

Indicative content: Arranging an overdraft would provide a source of cash should there be months where there is low demand for its customised trainers (AO2). Obtaining trade credit allows Adikoggz to buy new trainers and then pay for them at a later date (AO2). During months when there is less demand Adikoggz will still have running costs such as paying the wages of the four employees. If there is not as many cash inflows during these months, then an overdraft can be used to help support the business until demand increases again (AO3a). This will help with the cash-flow because it allows Adikoggz to customise and sell the trainers, and receive payment before they must pay the suppliers. This could therefore lead to less risk when buying new stock of expensive sports shoes (AO3a). However, overdrafts can be an expensive source of finance as interest will be charged. This is an additional cost for Adikoggz. If it relies on the overdraft too much, then this could indicate that the business needs to seek alternative sources of cash inflows from sports footwear (AO3b). However, Adikoggz is only a small business. It is not likely to be buying large amounts of stock. Suppliers such as Adidas may not be willing to offer trade credit to a business placing such small orders (AO3b). Level 1 (1-3): Limited application, simple justification. Level 2 (4-6): Sound application, justification based on sound evaluation. Level 3 (7-9): Detailed application throughout, clear justification based on thorough evaluation.